

Supplier Security Policy

Ver. 4.1

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V3.0	19-June-2023	Updated to reflect new company name Innova Solutions	ISMS Team	Kranthi Katti, Dawn Middleton	Faith Karim
V4.0	17-Jun-2024	Updated policy to reflect - ISO27001-2022 clauses and content.	Srikanth P	KranthiKiran K	Lakshmi Narasimhan Gopalan
v4.1	16-June-2024	Reviewed and added a point in Purchasing process section	Srikanth P	KranthiKiran K	Satnam Singh

Table of Contents

1. SCOPE.....	4
1. INTRODUCTION	4
2. SUPPLIER RELATIONSHIPS	4
2. PURCHASING	5
3. INFORMATION SECURITY POLICY FOR SUPPLIER RELATIONSHIPS.....	6
4. ADDRESSING SECURITY WITHIN SUPPLIER AGREEMENTS	6
5. INFORMATION AND COMMUNICATION TECHNOLOGY SUPPLY CHAIN	7
6. SUPPLIER SERVICE DELIVERY MANAGEMENT	7
7. MONITORING AND REVIEW OF SUPPLIER SERVICES	7
8. MANAGING CHANGES TO SUPPLIER SERVICES.....	7
9. ISO 27001:2022 REFERENCES:.....	8
10. POLICY COMPLIANCE.....	8
7. DISCLAIMER.....	8

1. Scope

This policy applies to all Innova Solutions Inc. workforce members including, but not limited to full-time employees, part-time employees, trainees, volunteers, contractors, suppliers, temporary workers, and anyone else granted access to Innova Solutions Inc. assets, resources, and/or sensitive data.

This policy also applies to all systems, networks, and applications, as well as all facilities, which process, store, maintain, or transmit sensitive information.

1. Introduction

This policy defines formal methods and procedures for establishing security controls on assets accessed by suppliers. Implementation and monitoring the procedures mentioned in this document is the responsibility of the IT and Admin/WPS Department. The risks involved with the physical access and logical access to the suppliers are considered:

- Physical access allows the suppliers to access offices, computer rooms and facilities.
- Logical access would allow suppliers to access Innova Solutions Inc.' databases and information systems.

On-site suppliers' contractors such as hardware and support staff, cleaning, catering, security guards and outsourced support services, short-term appointments and consultants may also give rise to potential security weaknesses.

2. Supplier Relationships

Innova Solutions Inc. outsources activities to our External Suppliers and Third Parties. Admin has outsourced the Physical Security, House Keeping, Cafeteria service provider and Building Maintenance. These suppliers will have physical access to the facility. Suppliers who have resources that reside in an Innova Solutions Inc. facility will sign an NDA with Innova Solutions Inc. which requires adherence to published information security and IT policies.

HR has outsourced the background verification check process. The background verification check for the resources deployed on Innova Solutions Inc. premises will be carried out by respective suppliers. While deploying Innova Solutions Inc. validated those records. Refer to The Innova Solutions Background Check Procedure (owned by HR) for more details.

Innova Solutions has contracts with external suppliers. External suppliers may include Power, Electrical maintenance, water supply. Suppliers may require access to Innova facilities from time to time. When facility access is required, external suppliers will be treated as visitors. Refer to the Physical and Environmental security policy for further details.

2. Purchasing

2.1 Purchasing Process

Innova Solutions Inc. needs to ensure that purchased products conform with specified purchasing information. Innova Solutions Inc. has established criteria for the evaluation and selection of suppliers. The criteria shall be:

- Based on the supplier's ability to provide product that meets the organization's requirements
- Based on the performance of the supplier

Every vendor has to go through the technical evaluation process

Innova Solutions Inc. has the monitoring and re-evaluation process of suppliers. Supplier performance in meeting requirements for the purchased product have been monitored. The results of the monitoring will provide an input into the supplier re-evaluation process.

Non-fulfilment of purchasing requirements will be addressed to the supplier proportionate to the risk associated with the purchased product and compliance with applicable regulatory requirements.

Records of the results of evaluation, selection, monitoring and re-evaluation of supplier capability or performance and any necessary actions arising from these activities have been maintained.

Innova Solutions Inc. is not dealing with manufacturing any medical equipment as of today. Our purchase requirements will be for providing necessary physical and IT infrastructure machines/tools/software, etc. Since these are standard products, we don't do evaluation with each vendor.

The vendor is selected for appropriate product purchase based on previous years' service delivery and support experience, pricing, and timeliness of delivery. Specific requirements based on urgency; we go for Spot Buy option as well. Innova Solutions Inc. does mention the Terms & Conditions in the Purchase Order and service & support contract for the delivery, support for the product and services provided by the suppliers/vendors.

2.2 Purchasing Information

Purchasing information as per Innova Solutions Inc. references to Purchase Order (PO) which list out the product to be purchased, including as appropriate:

- product specifications.
- requirements for product acceptance, procedures, processes, and equipment.
- requirements for qualification of supplier personnel

Innova Solutions Inc. has ensured the adequacy of specified purchasing requirements prior to their communication to the supplier.

Purchasing information will include a written agreement that the supplier notify the organization of changes in the purchased product prior to implementation of any changes that affect the ability of the purchased product to meet specified purchase requirements.

2.3 Verification of Purchased Product

Innova Solutions Inc. has established and implemented the inspection or other activities necessary for

ensuring that the purchased product meets specified purchasing requirements. The extent of verification activities is based on the supplier evaluation results and proportionate to the risks associated with the purchased product.

Innova Solutions Inc. do mention the Terms & Conditions in the Purchase Order and service & support contract for the delivery, support for the product and services provided by the suppliers/vendors.

3. Information Security Policy for Supplier Relationships

- Innova Solutions Inc. identifies and documents the types of suppliers, e.g., IT services, logistics utilities, financial services, IT infrastructure components, whom the organization will allow to access its information.
- Innova Solutions Inc. defines each supplier can access only their domain information.
- Innova Solutions Inc. monitors and controls the access of suppliers.
- Individual supplier agreements are created based on the organization's business needs and requirements and its risk profile.
- Innova Solutions Inc. documented in agreement that suppliers must adhere to information security requirements and controls signed by both parties.
- Innova Solutions Inc. conducted awareness training for the organization's personnel interacting with supplier personnel regarding appropriate rules of engagement and behavior based on the type of supplier and the level of supplier access to the organization's systems and information.

4. Addressing Security Within Supplier Agreements

A formal contract is signed for accessing the information facilities by suppliers. The contract mentions the security requirements of Innova Solutions Inc. to ensure compliance with Innova Solutions Inc.'s security policies and standards. Innova Solutions Inc. implemented an appropriate service level agreement that documents the performance expected and the remedies available in case of non-compliance.

Innova Solutions Inc. clearly mentions the following in agreement:

- The information to be provided or accessed and methods of providing or accessing the information.
- Classification of information according to the Innova Solutions Inc.'s classification scheme
- Terms and conditions for access control, performance review, monitoring, reporting, and auditing are established.
- Information security policies relevant to the specific contract are established.
- Right to audit the supplier processes and controls related to the agreement are mentioned.
- Innova Solutions Inc. mentions the suppliers must periodically deliver an independent report on the services they provide.
- Innova Solutions Inc. has clear NDAs with its vendors, third-party suppliers.
- Contact person for information security issues are mentioned.
- Innova Solutions Inc.'s agreement contains a clear reporting structure and agreed reporting formats.
- Conditions for renegotiation/termination of Agreements are mentioned.

5. Information and Communication Technology Supply Chain

Agreements with suppliers include requirements to address the information security risks associated with information and communications technology services and product supply chain.

- Innova Solutions Inc.'s information security policies are formally communicated to suppliers prior to supply of services.
- Suppliers' contractors coming into the Innova Solutions Inc. premises are usually specialists or professionals and it is easy to assume that their expertise also extends to Information security.
- For information and communication technology services, that suppliers must propagate Innova Solutions Inc.' security requirements throughout the supply chain if suppliers subcontract for parts of information and communication technology service provided to Innova Solutions Inc.
- Innova Solutions Inc. implemented a monitoring process and acceptable methods for validating that delivered information and communication technology products and services are adhering to stated security requirements.

6. Supplier Service Delivery Management

7. Monitoring and Review of Supplier Services

- Innova Solutions Inc. is monitoring, and review of supplier services ensures that the information security terms and conditions of the agreements are being adhered to and that information security incidents and problems are managed properly.
- Innova Solutions Inc. reviews service reports produced by the supplier and arranges regular review meetings.
- Innova Solutions Inc. ensures that the supplier maintains sufficient service capability to ensure that agreed service continuity levels are maintained.
- Based on the vendor performance, Innova Solutions Inc. will audit the vendors once in 2 years or whenever required.

8. Managing Changes to Supplier Services

When Innova Solutions Inc. becomes aware of any changes to the purchased product, Innova Solutions Inc. determines whether these changes affect Innova Solutions Inc.'s Physical and IT infrastructure and work environment.

When Innova Solutions Inc. or its customer intends to perform verification at the supplier's premises, Innova Solutions Inc. will communicate the intended verification activities and method of product release in the Purchase order. Records of the verification will be maintained in such cases.

Changes to the provision of services by suppliers, including maintaining and improving existing information security policies, procedures, and controls, are managed, taking account of the criticality of business information, systems and processes involved and re-assessment of risks.

Innova Solutions Inc.'s changes to supplier agreements includes:

- Enhancements to the current services offered.
- Development of any new applications and systems
- Modifications or updates of the organization's policies and procedures
- New or changed controls to resolve information security incidents and to improve security.

Innova Solutions Inc.'s changes in supplier services to implement

- Changes and enhancement to networks
- Use of new technologies
- Adoption of new products or newer versions/releases
- New development tools and environments
- Change of suppliers
- Sub-contracting to another supplier.

9. ISO 27001:2022 References:

- Information security policy for supplier relationships (5.19)
- Addressing security within supplier agreements (5.20)
- Information and communication technology supply chain (5.21)
- Monitoring and review of supplier services (5.22)
- Managing change to supplier services (5.22)

10. Policy Compliance**10.1 Compliance Measurement**

Compliance with this policy is mandatory for all employees of Innova Solutions Inc., and this policy is to be reviewed periodically. Compliance will be measured by the internal or external audits.

10.2 Exceptions

There are no exceptions to this policy.

10.3 Non-Compliance

Any employee, trainee, contractor, subcontractor, or committee found to be not complying with the requirements specified in the policy is bound to accept consequences specified in the Disciplinary Actions Specific Procedure.

7. Disclaimer**Company's Absolute Right to Alter or Abolish the Policy**

Innova Solutions Inc. reserves the right in its absolute discretion to abolish the policy and dissolve it at any time, or to alter the terms and conditions. Such discretion may be exercised any time, before, during or after the policy year is completed.